保險業監管局
Insurance Authority

Department of Computer Science
香港城市大學
City University of Hong Kong

Cybersecurity Audits and Compliance：

Insurtech and the Role of the Regulator

Ms. Eleanor Heung

Policy and Legislation Division

Insurance Authority

30 September 2026

Agenda

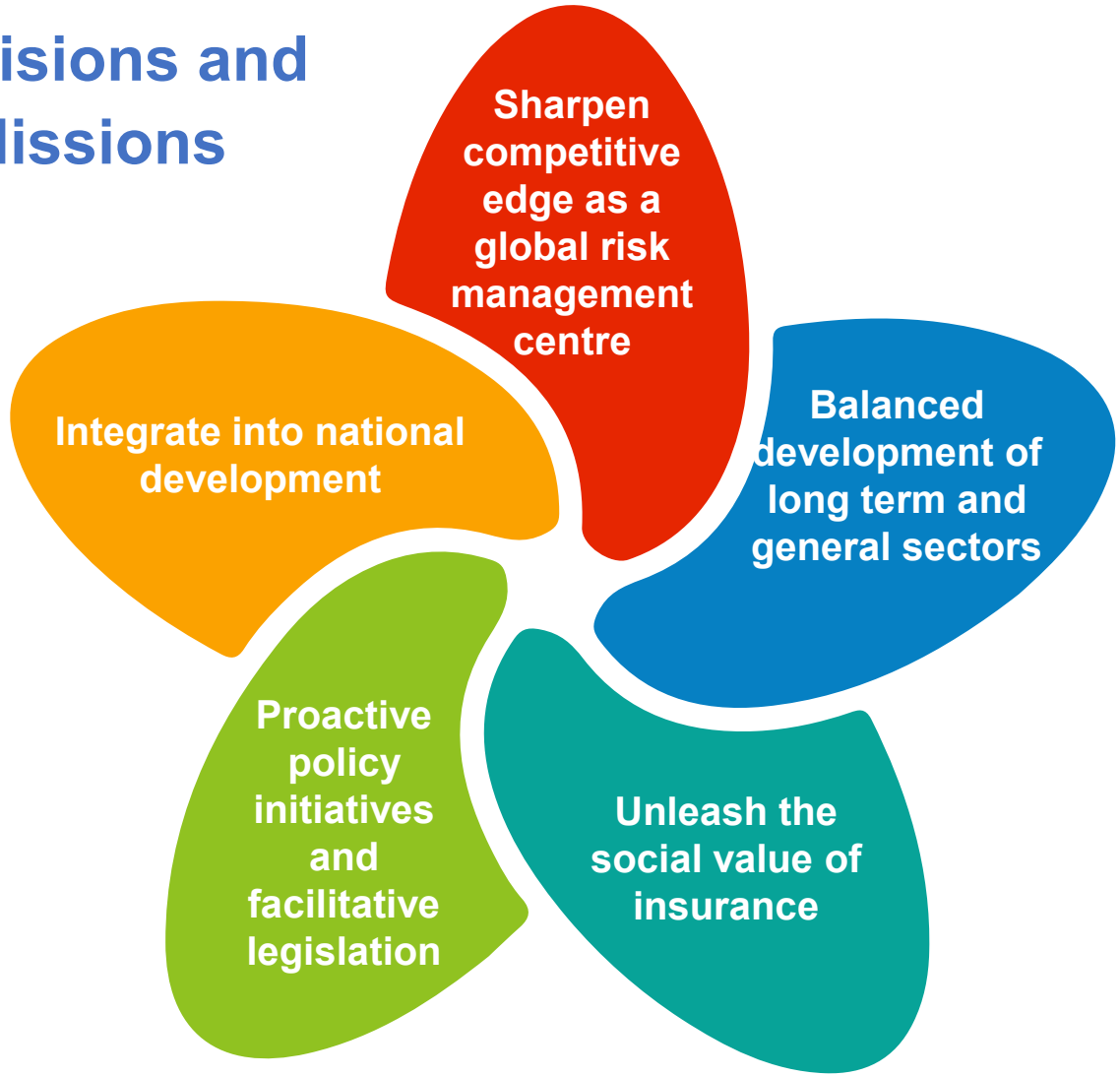
1. The Insurance Authority (IA)
2. Hong Kong Insurtech Landscape
3. GL20: Guideline on Cybersecurity & Cyber Resilience Assessment Framework (“CRAF”)
4. AI Cohort Programme & GL8: Guideline on the Use of Internet for Insurance Activities
5. Q&A

The Insurance Authority (IA)

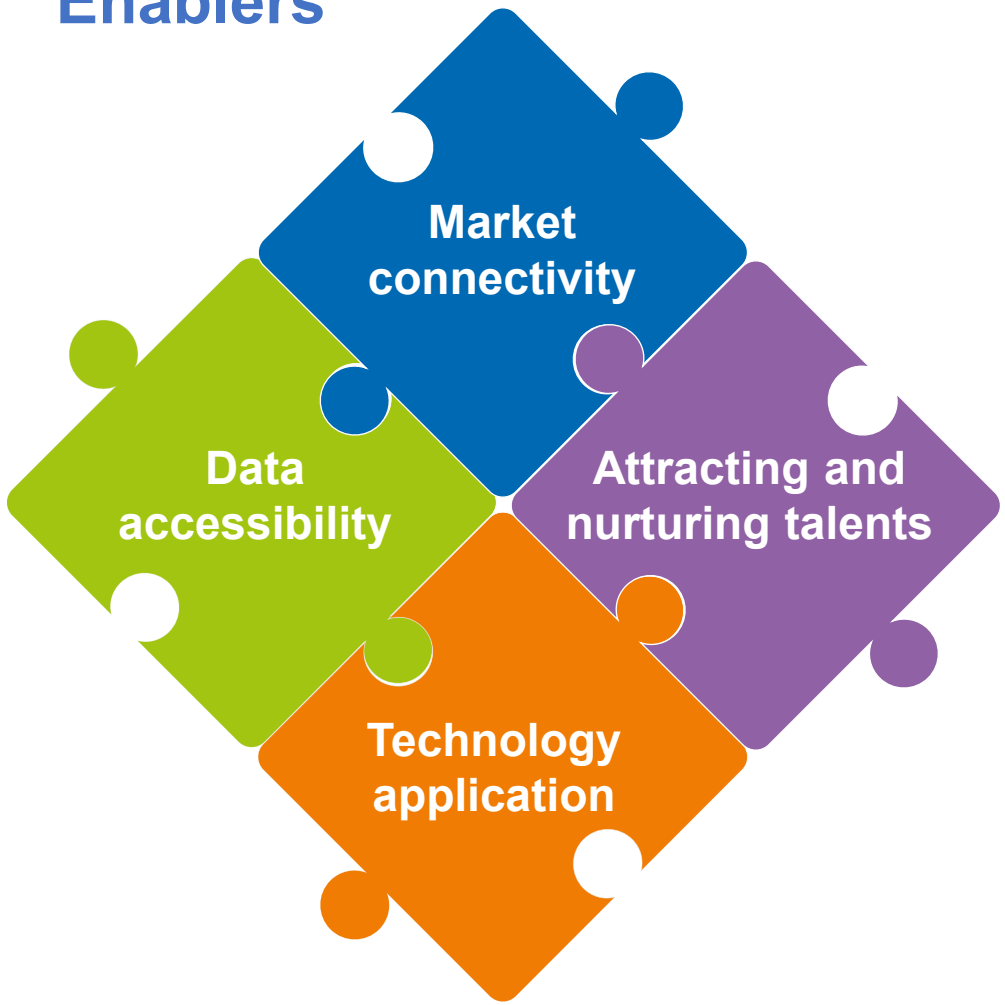
Development Roadmap for the Insurance Sector

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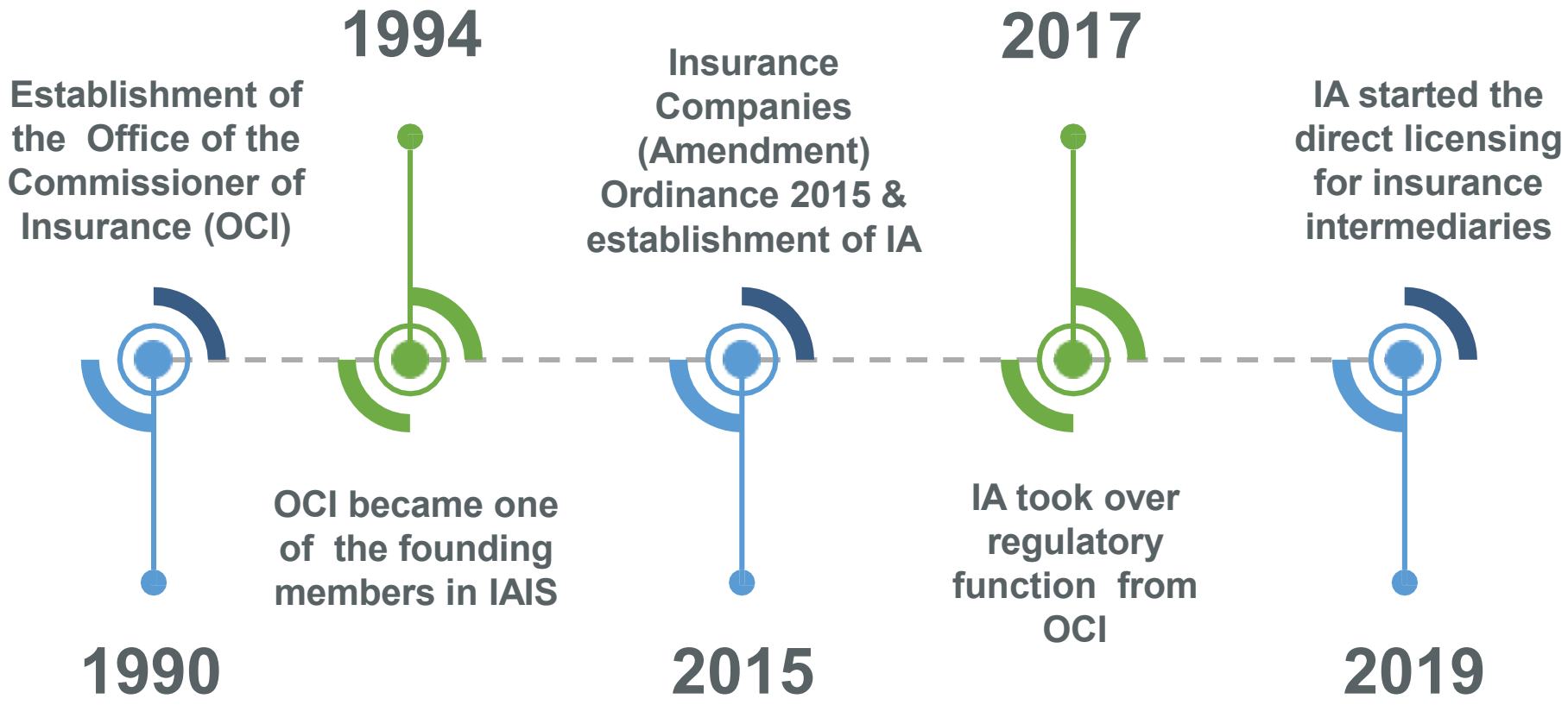
Visions and Missions



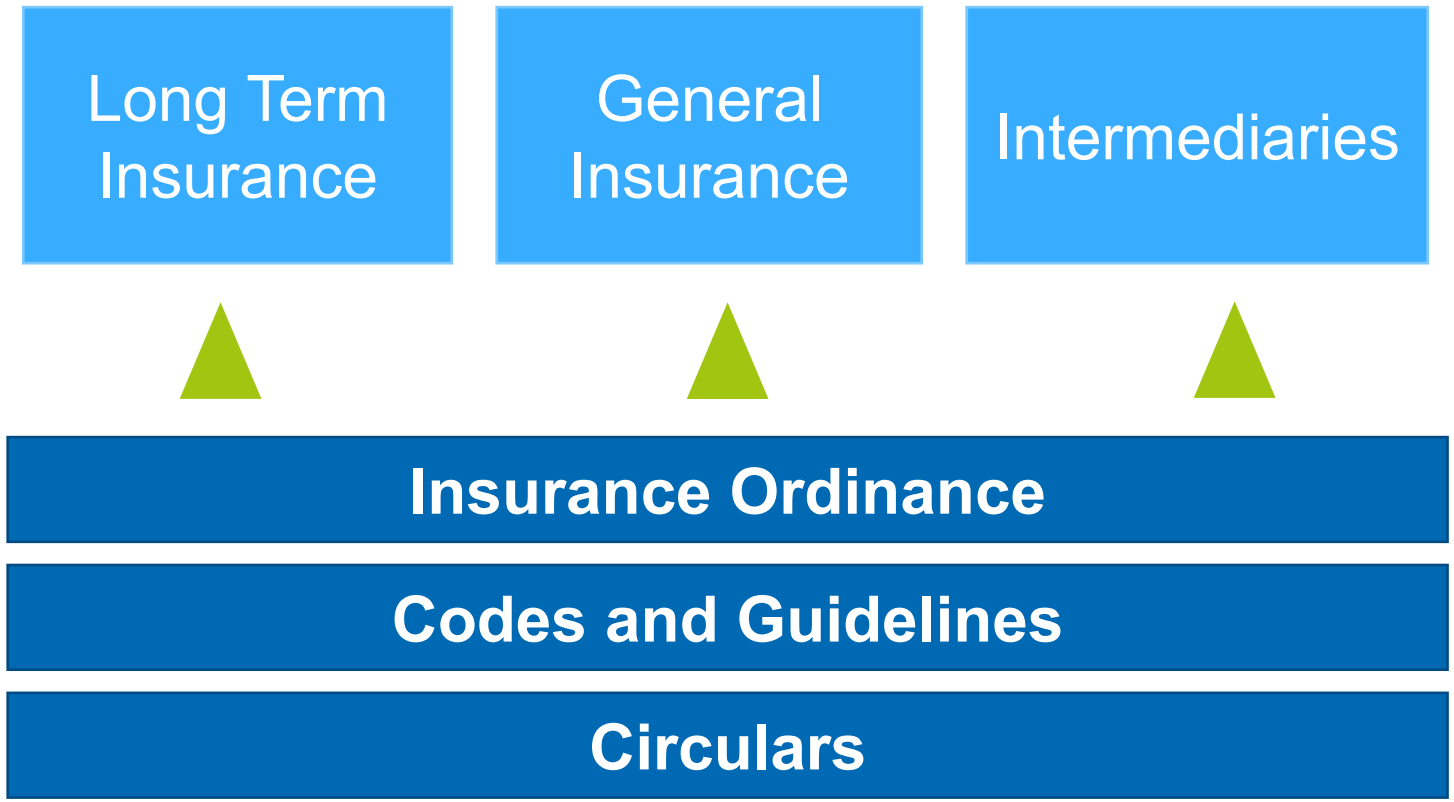
Enablers



About Us - Major Milestones



Legislative and Regulatory Framework (1/2)



Legislative and Regulatory Framework (2/2)

Insurance Ordinance (along with its subsidiary legislation) (Cap. 41)	• Principal regulation
	• Applicable to insurers and insurance intermediaries in Hong Kong
	• Requirements for the authorization, ongoing compliance and reporting obligations of insurers and insurance intermediaries
Codes and Guidelines promulgated by the IA	• Practical guidance for the industry to facilitate compliance with the regulatory requirements
Circulars	• Published by the IA from time to time to remind industry participants of certain regulatory requirements and/or to help them understand regulatory issues

Hong Kong Insurtech Landscape

Hong Kong Insurance Market

A Mature, Regionally Anchored and Globally Connected Market

160+ Authorized Insurers

Home to 6 of World's Top 10 Insurers

HKD $827 Billion (Total Gross Premiums in 2025)

No. 1 in Insurance Penetration Globally
No. 2 in Insurance Density Globally

4 Virtual Insurers

bowtie

OneDegree

avo

100,000+ Agents

80% Insurers with Digital Platforms

10,000+ Brokers



Hong Kong's Vision for Insurance Innovation

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Balancing regulation and development to foster resilience and sustainability

- Core Principles and Governance
- Risk Management
- Support Remediation and Supervision
- Inform Regulatory Policies and Insights

Regulatory Front

Building a Responsible Insurance Ecosystem

- Consumer Protection
- Proportionate Regulation
- Operational Resilience

Development Front

Accelerating Insurance Transformation

- Digital & AI Innovation
- Industry Collaboration
- Ecosystem Building

- Cross-sector GenAI Sandbox++
- Solution Matching and Diversification
- Shared Computing Infrastructure
- Talent Development



Safeguard financial stability and customer protection.

HK as a Responsible and Innovative Insurance Hub

Drive innovation, productivity and sustainable growth.

Insurtech Facilitation



Offer new customer experience and promote innovative products



Promote social role of insurance (Right protection for the right consumer)



Facilitate healthy development of the Fintech ecosystem (foster greater Fintech adoption)

Five Pillars

Application 1	Industry Liaison and Collaboration 2	Regulatory Interface 3	Research 4	Talent Development 5
A **promoter** to drive the exploration and application of Fintech in the insurance industry	A **platform** to exchange ideas among key stakeholders and a **connector** to foster collaborations	An **interface** between market participants and IA on Fintech development	An **initiator** of industry research on the use of Fintech in the insurance industry	A **facilitator** to nurture Fintech talents for the insurance industry

Key Insurtech Initiatives

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Application 1

Open API Framework and Central Register
A digital infrastructure to launch together with the Open API Framework.

***AI Cohort Programme**
Drive cross-sector collaboration and promote responsible AI deployment in the insurance industry.

Facilitate Use Cases in Digital Infrastructures
(e.g., HKMA Commercial Data Interchange (CDI), iAM Smart, HKFI MIDAS/IFPCD etc.)

Cyber Map for Financial Sector

Cyber Intelligence Sharing Platform (insurance sector)

Industry Liaison and Collaboration 2

Hong Kong Fintech Week
Co-organizing the Annual Flagship Fintech event

Roadmap to Promote Fintech Adoption
A series of Fintech events jointly organized with HKMA and SFC.

Engagement in Domestic and International Events
like IAIS Fintech Forum, Global Financial Innovation Network (GFIN) etc.

Future Task Force
Platform for exchange of insights on Insurtech with market stakeholders

Solution Matching Workshop
Connecting insurers and brokers with diverse AI and Fintech solution providers

*** AI Cohort Programme**

Regulatory Interface 3

Insurtech Sandbox
Support pilot run of innovative Insurtech applications by insurers and brokers

Fast Track
For new authorization of insurers operating solely digital distribution channels

Enhance Cybersecurity Framework (GL20)
Launch a Cyber Relicense Assessment Framework.

Circular on Virtual Assets and VASP

***Enhance AI Governance Framework**

***Enhance Guideline on the Use of Internet for Insurance Activities (GL8)**

***GenAI Sandbox++**
A cross-sectoral initiative by HKMA, SFC, IA & MPFA

Research 4

White Paper on Federated Learning (FL)
Co-develop a research paper with local research institution on Federated Learning for Insurance Application.

Paper on Distributed Ledger Technology (DLT)
Collaborate with HKMA on a Research Paper on DLT (e.g blockchain) for financial sector.

Talent Development 5

Fintech Career Accelerator Scheme
Co-organize the Internship Program for university students with the support from banks and insurers.

Industrial Projects with University
Facilitate industrial Fintech projects with university and insurers for students.

* Major in progress initiatives

Insurtech Overview

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Accelerating pace of digitalization

80%	70%	12%	74%
Insurers using digital platforms	Plan to investment on Insurtech	Increase manpower in technology	Insurers adopting or exploring AI

Virtual Insurers

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avo

OneDegree

ZA Insure

Digital Insurer

blue
Powered by AVIVA

Traditional Insurers with Digital Platforms

AI Cohort Core Insurers

AIA, PRUDENTIAL 英國保誠, AXA 安盛, HSBC Insurance, FWD 富衛, 中国太平 CHINA TAIPING, 中銀人壽 BOC LIFE, YFLife 萬通保險, Manulife 宏利, 中國人壽 CHINA LIFE | 海外

ZURICH, GENERALI, Sun Life, 豐隆保險 HLIA, Bupa, Blue Cross 藍十字

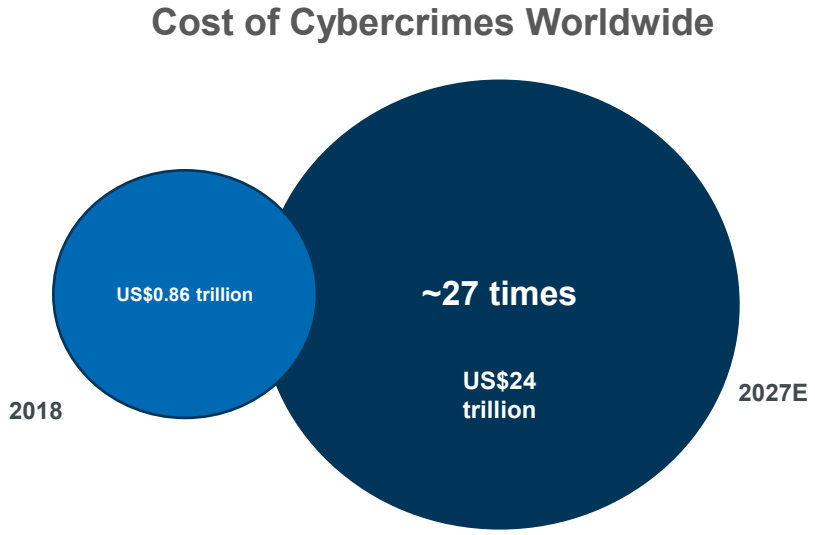
and more...

AI Applications in Insurance

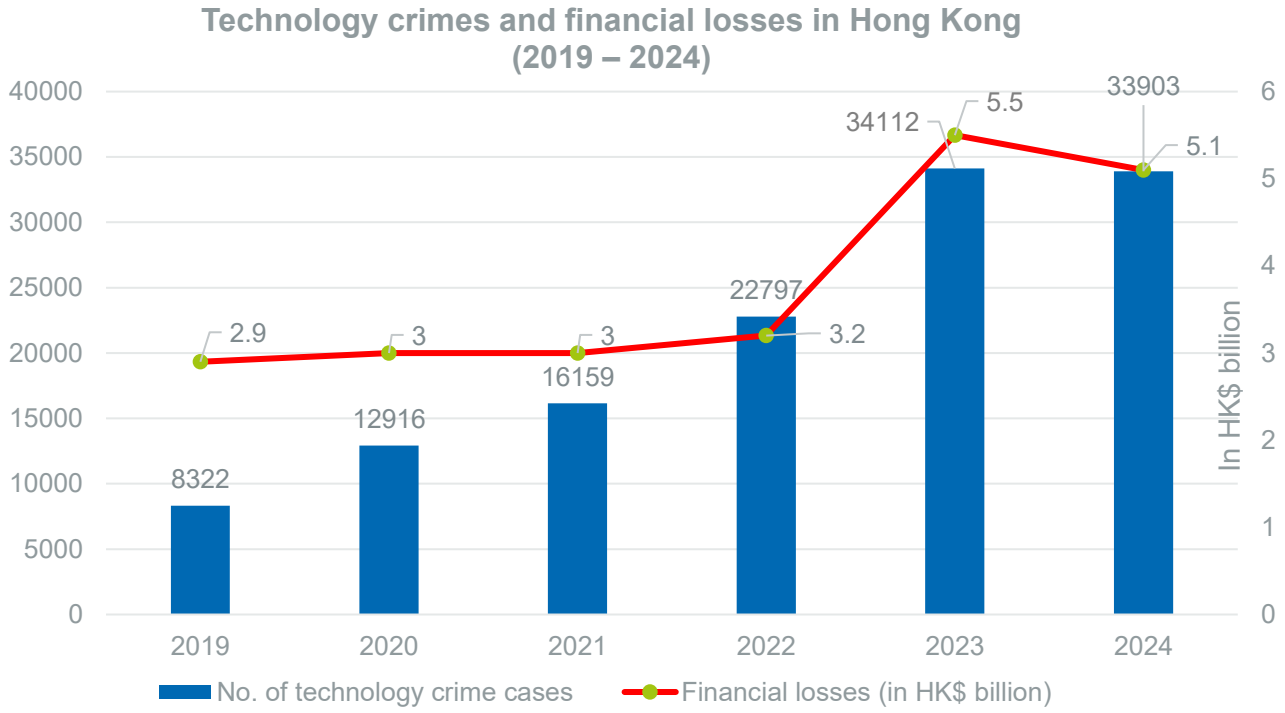
- Risk Modelling & Assessment
- Automated Underwriting
- 24-hour Robo-advice/ AI-based mental health support apps
- Automated Claims
- Fraud Detection

GL20: Guideline on Cybersecurity & Cyber Resilience Assessment Framework (“CRAF”)

Emerging Risks of Insurtech Innovations



Source: Statista Technology Market Outlook, National Cyber Security Organizations, FBI, IMF, World Economic Forum



Source: InfoSec: computer related crime (infosec)

15,877 cybersecurity incidents recorded in Hong Kong in 2025

Phishing Dominates:

57% of Total Cases

Key Emerging Cyber Risks in 2026:

AI-related Threats & Supply Chain Vulnerabilities

Source: HKCERT, Hong Kong Cybersecurity Outlook 2026, https://www.hkpc.org/en/about-us/media-centre/press-releases/2026/hk-cybersecurity-outlook-2026

GL20: Guideline on Cybersecurity (1/3)

- This Guideline is issued by the Insurance Authority ("IA") pursuant to section 133 of the Insurance Ordinance (Cap. 41) and its principal function to regulate and supervise the insurance industry for the protection of existing and potential policy holders.
- It sets the minimum standard for cybersecurity that authorized insurers are expected to have in place and the general guiding principles which the IA uses in assessing the effectiveness of an insurer's cybersecurity framework.

GL 20: https://www.ia.org.hk/en/legislative_framework/files/GL20.pdf

GL20: Guideline on Cybersecurity (2/3)

Inherent risk assessment

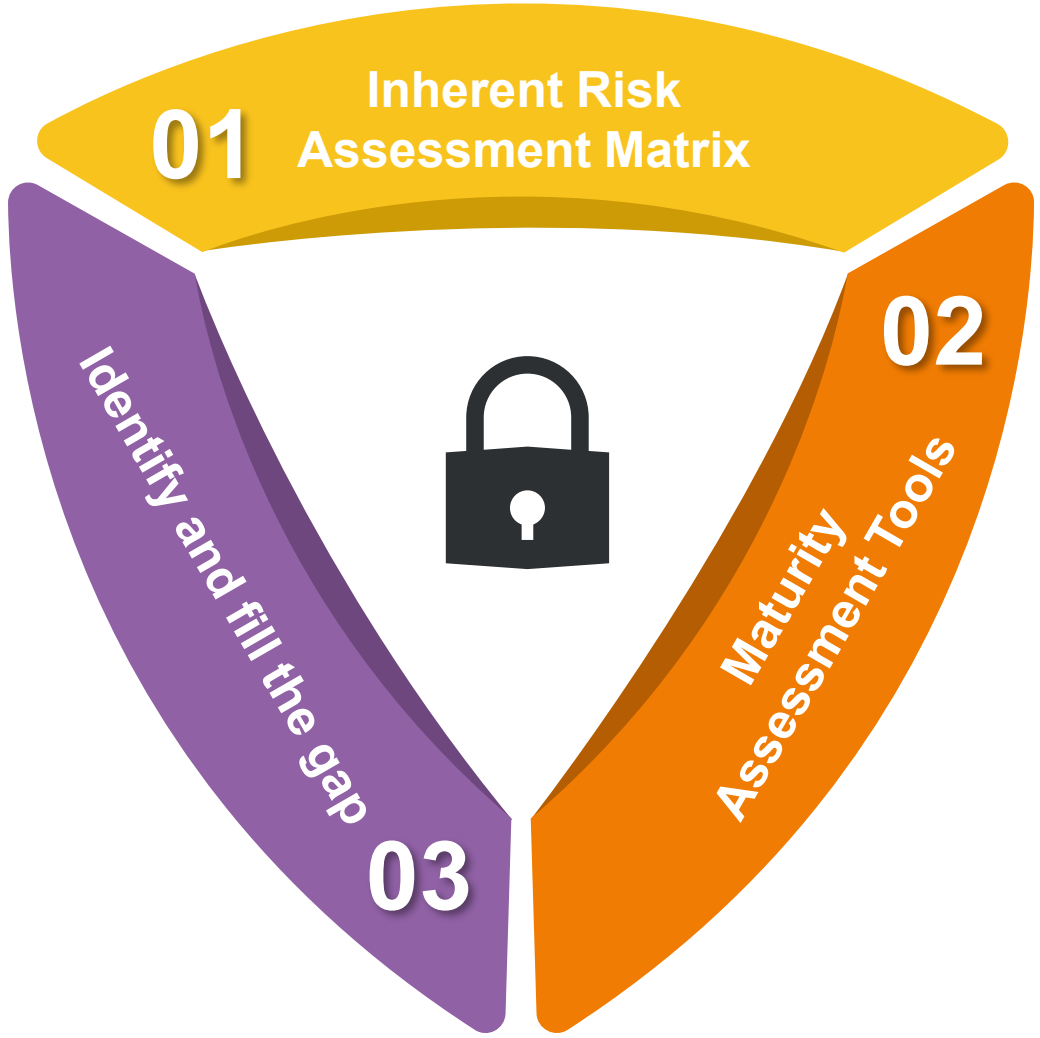
To evaluate the risk profile in five aspects, including the technologies, delivery channel, business size etc; and classify insurers into High, Medium and Low risk.

Maturity Assessment tools

The maturity domain would be divided into seven areas with three control maturity levels, baseline, intermediate and advanced.

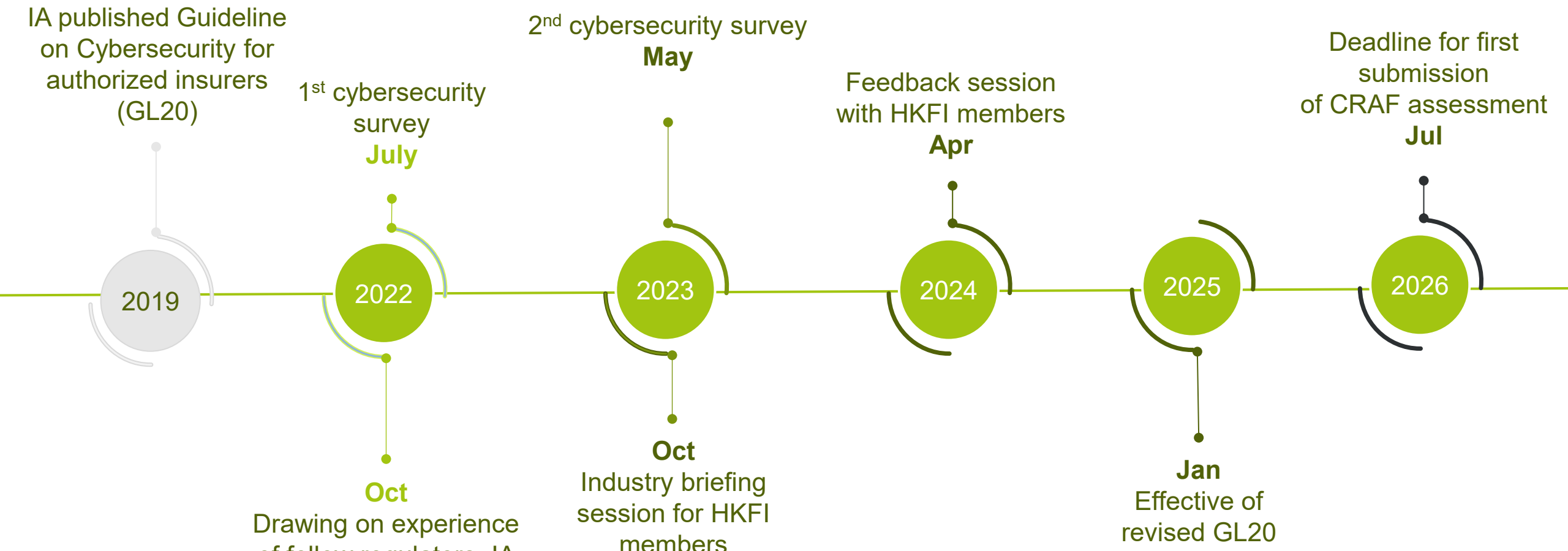
Identify and fill the gap

Identify gaps in maturity domains and improve the control maturity level



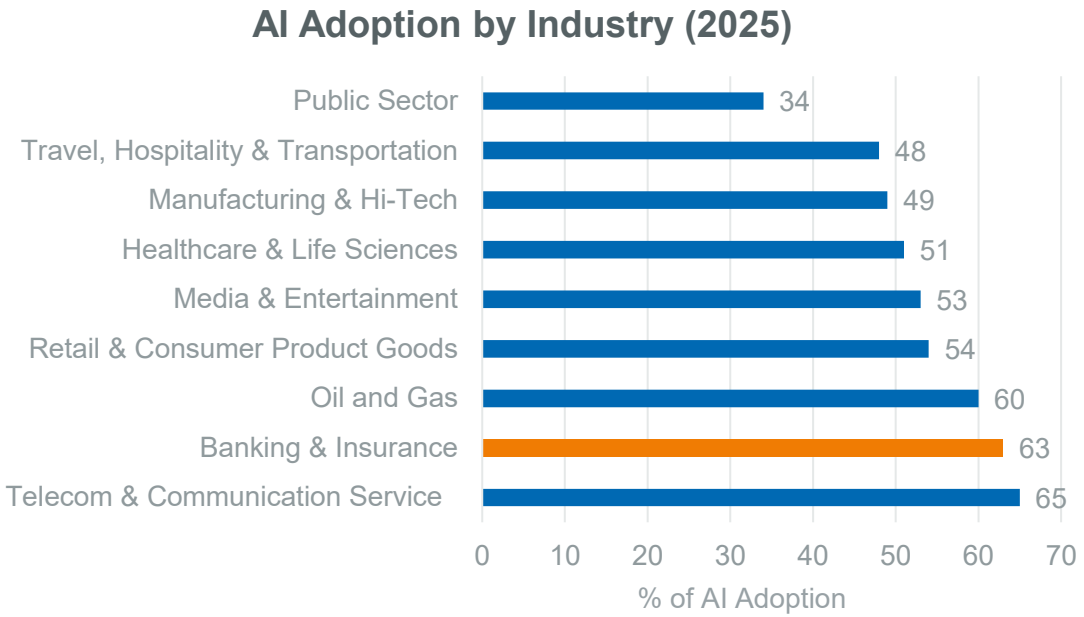
GL 20: https://www.ia.org.hk/en/legislative_framework/files/GL20.pdf

GL20: Guideline on Cybersecurity (3/3)

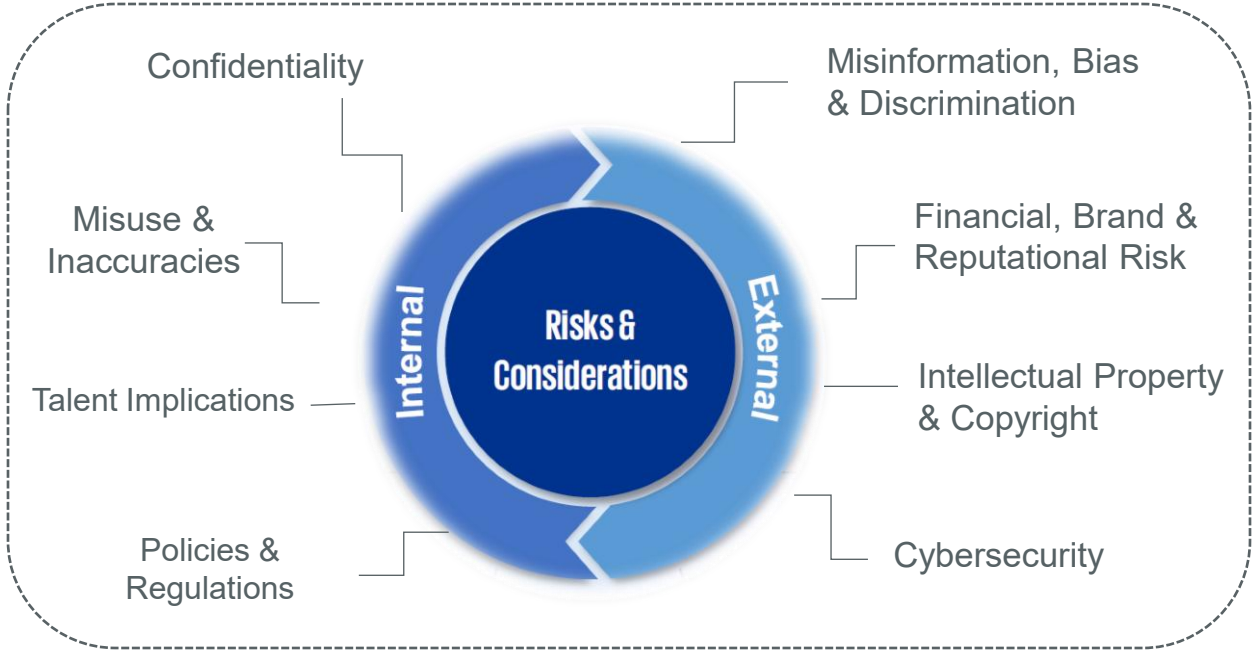


AI Cohort Programme &
GL8: Guideline on the Use of Internet for Insurance Activities

The Transformative Rise of AI



Source: SQ Magazine, https://sqmagazine.co.uk/ai-usage-statistics/



Global AI in Insurance Market

2025 Market Size	2034 Forecast Market Size	Asia Pacific Growth in 2025	Top Segment (2025)
USD 10.36 bn	**USD 154.39 bn**	**USD 2.80 bn**	**Claims Processing**
	CAGR: 35.7% (2026-34)	CAGR: 42.2%	Fastest Growth Segment **Underwriting**

Source: AI in Insurance Market Size, Share | Industry Report, 2034. (n.d.). https://www.fortunebusinessinsights.com/ai-in-insurance-market-114760

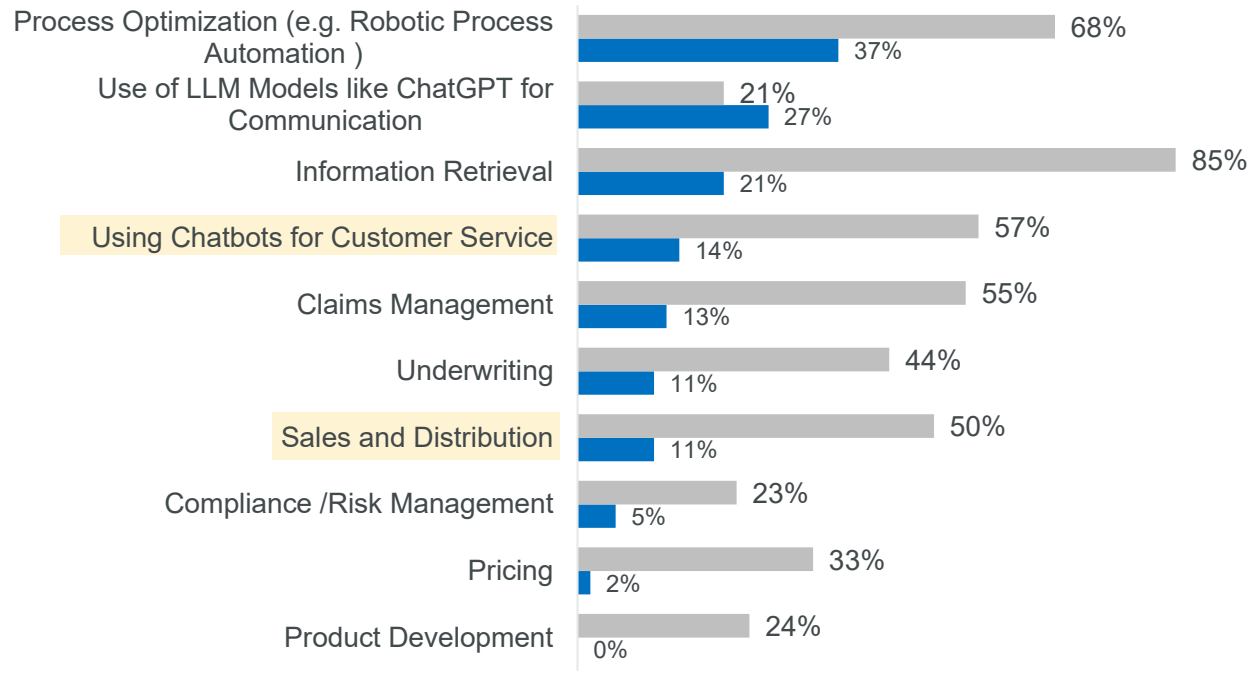
AI is a transformative force, offering significant benefits while introducing new risk considerations.

AI Application Trends Among Hong Kong Insurers

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IA Survey (March 2025): 74% Insurers adopting or exploring AI

Current and Future AI Applications



Shifting Trends

Internal applications:

- Process Optimization
- Communication
- Information Retrieval

Customer facing applications:

- Customer Services
- Distribution Support

AI applications are focused on optimization of internal efficiency, while customer-facing applications are advancing cautiously.

Key Principles for AI Adoption

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- Accountability 
- Personal Data Protection 
- Cybersecurity 
- Disclosure Obligations 
- Operational Resilience 



Less is more: A focused, risk-based regulatory approach

Proposed AI Governance Framework

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Principle-based, risk-proportionate AI governance with enhanced risk controls.

1. Governance & Accountability

- Board-approved AI strategy
- Defined ownership & accountability
- AI skills and training
- AI inventory management list

2. Risk Management & Internal Controls

- AI risk assessment
- Validation & testing
- Ongoing monitoring
- Lifecycle & change management

3. Operational Resilience & 3rd Party Risk Management

- 3rd party oversight
- Contractual safeguards
- Contingency plan
- Incident management

4. Robustness, Reliability, Security, Safety & Privacy

- Secure & reliable AI operations
- Performance monitoring
- Privacy protection
- GenAI safeguards

5. Transparency & Explainability

- Disclosure of AI-enabled interactions
- Human escalation mechanism
- Explainable AI-assisted decisions
- Documentation and record keeping

6. Fairness & Non-discrimination

- Fair customer outcomes
- Bias monitoring and mitigation
- Appropriate data governance
- Prevention of unlawful discrimination

AI Cohort Programme

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To accelerate AI adoption in the insurance market and strengthen Hong Kong as a regional AI and innovation hub

Milestones

Aug 2025
Launched with 7 core participating insurers

Jun 2026
Expanded to 10 core participating insurers

Centre of Excellence

- Establish an AI CoE focused on governance, use case pipeline, and pilots
- Expand AI adoption across the industry and into other jurisdictions beyond Hong Kong
- Explore nearshore AI and data operations in Hetao Area

Talent Development

- Anchor AI leadership roles in Hong Kong
- Accelerate capability building through structured training, executive enablement and workforce upskilling

AI Pledge

By Core Participating Insurers

Industry Collaboration

- Strengthen the AI ecosystem through cross-sector platforms (e.g. GenAI Sandbox++)
- Share implementation playbooks and lessons learned

Key Activities of AI Cohort Programme

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- Regulatory Guidance
- AI Expert Panel
- Talent Development
- Solutions Matching
- Operational Resilience
- Shared Infrastructure
- Knowledge Sharing

Cyber Resilience as the Enabler for Safe AI Scaling

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Robust cybersecurity (GL20) and governance aren't innovation bottlenecks, they are the prerequisite launchpad for deploying high-risk, high-value AI solutions with confidence.



Cyber Safeguards for AI

- Securing models, APIs, and pipelines against novel threats (e.g., prompt injection, poisoning).
- Establishing proactive security baselines under GL20.



High-Availability AI Deployment

- Ensuring mission-critical GenAI applications remain fault-tolerant & reliable.
- Failover & human-in-the-loop rollback when automated models drift.



Secure Cloud & Partner Ecosystem

- Mitigating third-party supply chain cyber risks under GL20.
- Streamlining cloud & AI vendor onboarding with integrated GL14 due diligence.



Real-Time AI Anomaly Response

- Continuous monitoring for algorithmic errors, model drift, or data leaks.
- Rapid escalation aligned with Insurance Authority incident reporting.



Trusted & Privacy-Compliant Data

- Unlocking high-value training data while enforcing strict access controls.
- Ethical data usage aligned with IA governance principles.

Governing IA Guidelines & Circulars

- **GL8 Guideline on the Use of Internet for Insurance Activities***: Digital channel, TRM, responsible use of AI
- **GL14 Guideline on Outsourcing**: Vendor due diligence, SLA monitoring, contingency planning
- **GL20 Guideline on Cybersecurity**: Cyber controls, resilience and recovery, reporting
- **GL21 Guideline on Enterprise Risk Management**: Risk governance, monitoring, escalation
- **Open API Framework Circular**: API security, TSP governance, data management

**Revised GL8 to be promulgated by end 2026, to expand coverage from internet-only activities to cover broader digital channels, TRM, and AI.*

Q&A

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Thank You

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